

If you're a Neiman Marcus shopper, you're going to buy Microsoft stock. It may be the greatest company around at the moment, and you will be willing to pay up for that fact. And if you're a Filene's Basement person, you are going to take your time and use your judgment to find a decent-quality stock you believe is a bargain. If you are pursuing a style that doesn't fit your temperament, you won't be happy. Show me an unhappy investor and I'll show you an unsuccessful investor.

Not that the demarcation between growth and value is always crystal clear. A P/E of 15 for any stock might seem high in a bear market and low in a bull market. Sometimes P/Es are no help in fixing value. A cable TV company may have no earnings at all, but if all the other CATV companies are selling at ten times cash flow, that's the way you have to measure its value.

Nor do investors define value in the same way. The value investor says he buys only "undervalued" stocks. That hardly means the growth investor boasts, "And I buy only overvalued stocks." He argues that his stocks, too, are undervalued—that other investors haven't fully factored in the company's glorious growth prospects. He pulls out his stock valuation model to show you that, given future earnings streams, the stock is currently selling for less than its real worth.

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After all, growth itself is one component of value. A growing stream of earnings is certainly worth more than a static stream of earnings. You could even say that growth generates value. It can disappear as growth slows, but so can any other part of a value